

Research Briefing | Spain

Spain gets a government but fragmentation here to stay

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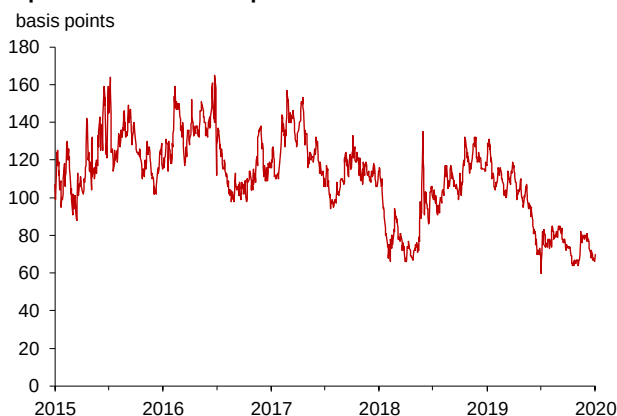
- Following eight months of interim rule, Pedro Sánchez from the Socialist Party was today re-elected as prime minister heading a minority coalition between the Socialists and far-left Podemos. The new government has an extremely narrow margin to operate and will require the support of several smaller parties, which will make governing very challenging. As such, we consider it highly unlikely that the government will last the full four-year term.
- The first order of business will be to approve this year's budget. The PSOE-Podemos economic programme incorporates higher spending and various increases in taxes. Although there is a firm commitment to deficit targets, we have slightly raised our deficit projections as fiscal numbers are coming in weaker than expected.
- Despite the formation of a government, political fragmentation will continue to dominate Spanish politics. Therefore, the implementation of reforms that require ample consensus remains unlikely. Although the governing coalition seeks to partially undo some of the reforms from recent years, fundamental issues such as EU membership are not in question.

Socialist Pedro Sánchez will repeat as Spain's prime minister following a successful second investiture vote in congress today. Sánchez obtained an extremely narrow majority (167 votes for and 165 against in the 350-seat parliament). The small margin of victory highlights the difficulties that the new governing coalition between the Socialist Party and far-left Podemos – the first in the country's modern history – will face in order to govern effectively. The government will require the support from several smaller regional parties, including one of the major pro-independence Catalan groups, to pass legislation, and will face a very hostile environment given the extreme polarisation and regional tensions that dominate the country's politics in recent years.

Socialist Pedro Sánchez gets re-elected as prime minister

Figure 1: Bond markets not concerned about new government

Spread between 10Y Spanish and German bond



Source: Oxford Economics/Haver Analytics

Sovereign bond markets have been ignoring political uncertainty and do not appear concerned about the inclusion of far-left Podemos in the new government. The risk premium versus German Bunds continues to hover around multi-year lows.

Higher taxes and higher spending, but still a commitment to fiscal targets

We expect a broad continuation of the policies seen in the past year since Pedro Sánchez became prime minister ousting conservative leader Mariano Rajoy. The PSOE-Podemos coalition will keep an increased emphasis on social policies and plans to raise taxes for higher incomes and corporates as well as establishing new taxes for banks and technological companies in order to finance higher spending. The government maintains a firm commitment to fiscal targets, but we have revised our deficit projections slightly up to 2.0% of GDP in 2020 in view of the latest fiscal numbers coming in weaker than expected and what we consider slightly optimistic revenue projections for some of the new fiscal measures. The new government seeks to partially undo some of the reforms implemented in recent years (most notably parts of the labour reform that the Popular Party approved in 2012). But contrary to the populist movements that are increasingly dominating other countries, we do not expect a radical shift in policies, and fundamental issues such as EU membership are not in question.

This notion is supported by the muted reaction in bond markets (**Figure 1**), which continue to be unfazed by political uncertainty or the prospect of a left-leaning government, despite the alarm that some of the proposed policies have caused within the more conservative parts of the Spanish business establishment. In that sense, Sánchez decision to elevate finance minister Nadia Calviño – a highly respected figure in Brussels – to the rank of vice-president sends a clear signal to markets that he intends to maintain economic orthodoxy at the centre front of his economic policies.

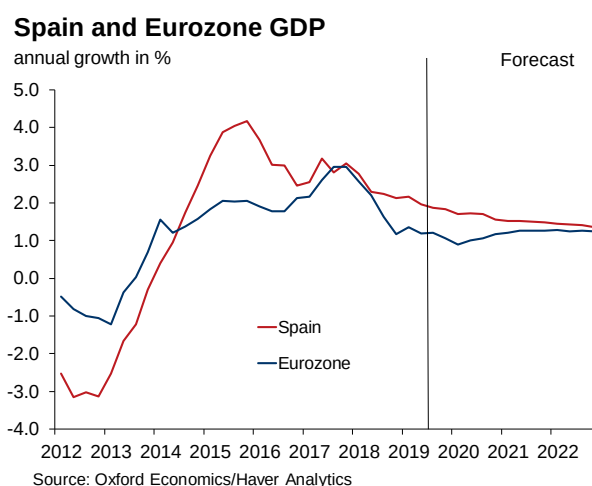
New government will find a cooling economy

We don't expect the new government to fundamentally alter the trajectory of the economy. In the short term, the Spanish economy will remain much more dependent on external factors and its position within the economic cycle than on who is in power in Madrid. As such, we are not revising our growth forecasts for the time being and we still see GDP growth at 1.7% in 2020. We expect economic growth to remain above the eurozone average (**Figure 2**) but to continue to cool gradually amid a weak external environment and a labour market that is now showing increasing signs of fatigue.

Political outlook will continue to be dominated by fragmentation

While the formation of a government is certainly welcome news for the Spanish economy after months of political standstill, it does not change the overall picture of an increasingly fragmented and polarised political system. The implementation of reforms that require ample consensus remains unlikely, leaving a lot of unfinished business at a time when the economic outlook is deteriorating. And with the Catalan independence issue permeating all aspects of Spanish politics, the governing coalition's dependence on the support of pro-independence parties makes it very unlikely that it will be able to last a full four-year term.

Figure 2: Spanish economy slowing down but still outperforming the eurozone



The new government finds an economy that has been slowing down over the recent quarters, but which continues to outperform the eurozone average.